

Program : Diploma in Computer Application and Business Management	
Course Code : 2253	Course Title: Cost Accounting
Semester : 2	Credits: 4
Course Category: Foundation Course	
Periods per week: 4 (L:3, T:1, P:0)	Periods per semester: 60

Course Objectives:

- To provide an insight into the fundamental concepts of cost accounting, preparation of cost sheet, methods and techniques of costing and its application.

Course Prerequisites:

Topic	Course code	Course name	Semester
Entire course		Basic Accounting	I

Course Outcomes:

On completion of the course, students will be able to:

CO n	Description	Duration (Hours)	Cognitive Level
CO1	Explain the nature, scope and fundamental concepts of cost accounting, classify various types of cost and identify the elements of cost	15	Applying
CO2	Apply the methods of costing	12	Applying
CO3	Use the techniques of marginal costing	17	Applying
CO4	Apply the techniques of budgetary control	14	Applying
	Series Exam	2	

CO – PO Mapping:

Course Outcomes	PO1	PO2	PO3	PO4	PO5	PO6	PO7
CO1					3		
CO2			3				
CO3		3					
CO4	3		3				

3-Strongly mapped, 2-Moderately mapped, 1-Weakly mapped

Course Outline:

Module Outcomes	Description	Duration (Hours)	Cognitive Level
CO1	Explain the nature, scope and fundamental concepts of cost accounting, classify various types of cost and identify the elements of cost		
M1.01	Explain the concept of cost, costing and cost accounting	1	Understanding
M1.02	State the Objectives and functions of cost accounting	2	Understanding
M1.03	List out the advantages and disadvantages of cost accounting	2	Understanding
M1.04	Differentiate cost accounting and financial accounting	1	Understanding
M1.05	State the concept of cost centre and cost unit	2	Understanding
M1.06	Identify the elements of cost	2	Understanding
M1.07	Classify the cost according to functions, cost behavior, identifiability and Managerial decisions.	2	Applying
M1.08	Demonstrate the preparation of cost sheet	3	Applying
Contents: Introduction to cost accounting - Meaning and definition of cost, costing and cost accounting - State the Objectives and functions of cost accounting-Explain advantages and disadvantages of cost accounting - Difference between cost accounting and financial accounting - Explain cost centre and cost unit-Explain elements of cost - Explain classification of cost according to functions, cost behavior, identifiability and Managerial decisions - preparation of cost sheet.			
CO2	Apply the methods of costing		
M2.01	Explain job costing with simple problems.	3	Applying
M2.02	Explain batch costing with simple problems.	3	Applying

M2.03	Explain contract costing with simple problems.	3	Applying
M2.04	Explain process costing with simple problems.	3	Applying
	Series Test-I	1	
Contents: Methods of costing - Explain job costing - Explain batch costing - Explain contract costing - Explain process costing - Work out simple problems of job costing, process costing and contract costing			
CO3	Use the techniques of marginal costing		
M3.01	State the techniques of costing.	1	Understanding
M3.02	Explain the meaning & features of marginal costing	1	Understanding
M3.03	Discuss the advantages and disadvantages of marginal costing	2	Understanding
M3.04	Explain the marginal cost equations.	2	Applying
M3.05	Recall the concept of contribution	2	Applying
M3.06	Explain Cost Volume Profit Analysis	3	Applying
M3.07	Analyze Profit Volume Ratio, Breakeven point and Margin of Safety	4	Applying
M3.08	Discuss the various applications of marginal costing	2	Applying
Contents: Techniques of costing - Marginal costing - Explain meaning and definition of marginal costing - State the Features of marginal costing - Explain the Advantages of Marginal costing - Explain disadvantages of cost accounting - Explain marginal cost equations - Describe the concept of contribution - Explain Cost Volume Profit Analysis - Explain Profit Volume Ratio - Explain Breakeven point - Explain Margin of Safety - Describe the applications of marginal costing - Workout simple problems on fixation of selling price, selection of profitable product mix, Make or buy decision, Problem of key factor, closure of department or discontinuing a Product - problem solving			
CO4	Apply the techniques of budgetary control		
M 4.01	Recall the meaning and definition of budget and budgetary control.	1	Understanding
M 4.02	List out the objectives and advantages of budgetary control.	1	Understanding

M 4.03	Explain essential requirements of good budgetary control system	2	Understanding
M 4.04	Classify budgets according to functions and capacity	4	Applying
M 4.05	Workout problems on Flexible budget and Cash budget.	6	Applying
	Series Test – II	1	
Contents: Budgetary control: State the meaning and definition of budget and budgetary control - State the objectives of budget and budgetary control - Explain advantages of budgetary control - Explain essential requirements of good budgetary control system - Explain classification of budget - Explain Fixed and Flexible budget - Explain Cash budget - Workout problems on Flexible budget and Cash budget.			

Text / Reference:

T/R	Book Title/Author
R1	S P Jain, K L Narang, Simmi Agarwal, Monika Sehgal, Cost Accounting - Principles and Practice , Kalyani Publishers 2019.
R2	C Shukla, T S, Grewal, Dr M P Gupta, Cost Accounting –Text And Problems , S. Chand Publishing 2019
R3	Maheshwari & Mittal, Elements of Cost Accounting , Mahavir Publication
R4	Dr. S N Maheswari, Cost and Management Accounting , Sultan Chand & Sons
R5	M .N Arora, Cost Accounting-Principles and Practices , Vikas Publishing House.

Online Resources:

Sl.No	Website Link
1	https://www.tutorialspoint.com/accounting_basics/cost_accounting_introduction.htm
2	https://www.investopedia.com/terms/c/cost-accounting.asp
3	https://icmai.in/upload/Students/Syllabus-2008/StudyMaterial/Cost_Mgmt_Ac.pdf
4	library.ku.ac.ke/wp-content/downloads/2011/08/Bookboon/Accounting/managerial-and-cost-accounting.pdf